

This one was interesting because you often see “market research” quoted from the likes of Frost & Sullivan and iResearch. Block said companies hire these firms and often give them the research to get the report they want. Market research is there to add legitimacy to management’s claims.

It’s not to help you make a good decision.

Distrust market research. Look for more objective sources of information, such as actual sales data and trends.

China

Taking China as a category unto itself, Block had a good line: “China is to stock fraud what Silicon Valley is to technology.”

He believes investors are getting complacent again about fraud risks in China. And he points out, “no fraudster from China has ever been meaningfully punished for defrauding North American investors.”

Phelps said in his book an investor going overseas was often simply swapping risks he could see for risks he couldn’t see. Investing is hard.

Investing overseas, in a foreign market, is harder.

Precautions to Take

There is always a risk you’ll get snookered somewhere. Most investors who have been in the game long enough have been fooled at some point — even if only in smaller ways than in a Sino-Forest-type event.

But it’s important to make a distinction here. There is bias, and then there is lying. There is salesmanship, and then there is fraud. Almost all management teams aim to put a positive gloss on what they are doing.

But we know that, and that’s not fraud.

There are some things you can do to avoid the big frauds and scam artists.

I say the best thing to do is invest with management teams that own a lot of stock. That is often a great bulwark against fraud in the United States.

But that by itself is not enough, since many China frauds, for instance, had big insider ownership.

Second, partner up with people who have had success. If you stick